EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Lal-lo, the former Ciudad de Nueva Segovia, is strategically situated practically at the center of the Province of Cagayan. As the seat of both the civil and ecclesiastical government during the Spanish Regime, this town is rich in historical heritage and endowed with a lot of tourist attractions. It hosts a good number of caves, war garrisons, ruins of Spanish cultures, the shell midden site, beautiful and clean rural bodies of water and others. Its economic potential is further boosted by the presence of Magapit Suspension Bridge, which is the gateway to the Ilocos Region and the air facility of the Cagayan Economic Zone, the Lal-lo International Airport, as well as the establishment of the Cagayan Sub Capitol at Barangay Bangag.

Anyone can see the transformational Lal-lo today. It became a first-class municipality owing to its continuous growth under dynamic leadership. Along the way, the Local Government Unit received awards recognizing its accomplishments in terms of nutrition, solid waste management, over-all local governance, good financial housekeeping, disaster management, human resource development and others. It attests how the LGU manages to attune economic development to social and institutional growth of its more than 60,000.00 constituents.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Lal-lo, Cagayan for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSAS), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Lal-lo, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	**2022**	**2021**	**Increase (Decrease)**
			Amount
Financial Position			
Assets	1,175,836,886.67	768,176,481.84	407,660,404.83
Liabilities	344,980,792.89	341,937,145.47	3,043,647.42

Particulars	2022	2021	Increase (Decrease)
			Amount
Govt. Equity	830,856,093.78	426,239,336.37	404,616,757.41
Financial Performance			
Income	517,387,281.23	402,502,462.27	114,884,818.96
Expense	414,289,183.59	334,355,251.39	79,933,932.20
Appropriations, Allotments and Obligation			
Appropriations	437,181,882.77	315,024,011.22	122,157,871.55
Obligations	369,208,156.33	235,527,625.38	133,680,530.95

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Lal-lo, Cagayan for the year ended December 31, 2022 due to: (a) unreconciled difference between the Accounting and Property Records of the Property, Plant and Equipment account amounting to P52,947,711.80; (b) incomplete basis on the balances of Real Property Tax Receivable and Special Education Tax Receivable totaling to ₱98,288,914.32; and (c) non-reversal of dormant payable accounts totaling to P5,093,998.93.

D. Summary of Significant Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **The balance of the Property, Plant and Equipment amounting to P795,913,096.11 as at December 31, 2022 could not be ascertained due to the unreconciled difference between the Property and Accounting Records amounting to P52,947,711.80, contrary to Philippine Public Sector Accounting Standard 17 – Property, Plant and Equipment, thus, affecting the fair presentation of the account in the financial statements.**

   We recommended that the Management:

   a. Exert more effort in tracing the acquisition of the properties presented in the reconciling items in order to establish the cost, existence, ownership and control to those properties; and

   b. Direct the Municipal Accountant to record the necessary adjustments in order to present a fair and reliable balance of the Property, Plant and Equipment in accordance with PPSAS 17.

2. **The accuracy, validity and completeness of the reported balances of the Real Property Tax Receivable and Special Education Tax Receivable totaling**

₱98,288,914.32 as at December 31, 2022 cannot be relied upon due to: a) non-set up of RPT and SET Receivables at the beginning of the year; b) incomplete basis and supporting documents to account for the composition thereof; and c) unreconciled records of the Accounting and Treasury Offices, inconsistent with Section 246 of the Republic Act No. 7160 and Section 20 of the New Government Accounting System Manual for LGUs, Volume I.

We recommended that the Municipal Mayor require:

a. The Municipal Treasurer to furnish the Municipal Accountant the certified list of taxpayers, with the amount due and collectible, which would be the basis of the latter, to set-up the RPT/SET Receivables at the beginning of the accounting period;

b. The Municipal Accountant to accrue real property taxes at the beginning of the year based on certified list of taxpayers;

c. The Municipal Treasurer and the Municipal Accountant to ensure that all due and demandable taxes be accounted properly in their own records and any delinquent accounts be continuously reported in the books, unless subsequently settled; and

d. The concerned officials to adhere strictly to the provisions of Section 246 of RA No. 7160 and New Government Accounting System Manual for LGUs, Volume I.

3. **Payable accounts totaling P5,093,998.93, which remained dormant for more than two (2) years, were not reversed, contrary to Section 98 of Presidential Decree No. 1445, thus, overstating the liabilities account.**

We recommended that the Municipal Accountant verify the validity of payables aged two (2) years and more and send confirmation letters with identified claimants or creditors. If some claims remain valid, such claim shall be paid by the Municipality, otherwise, effect the necessary reversion of the payables to the unappropriated surplus account.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	25,130,000.00	-	-	25,130,000.00	

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Current Year	-	-	-	-	
Total	**25,130,000.00**	**-**	**-**	**25,130,000.00**	
Disallowances					
Prior Years	452,169.47		239,919.70	212,249.77	53%
Current Year	-	-	-	-	
Total	**452,169.47**		**239,919.70**	**212,249.77**	**53%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**25,582,169.50**		**239,919.70**	**25,342,249.80**	

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the nineteen (19) audit recommendations in the CY 2021 Annual Audit Report, thirteen (13) were fully implemented, four (4) were partially implemented and two (2) were not implemented as at year-end.